



DON'T FEAR THE RECESSION

Maverick startups and tech icons believe it's an opportunity to disrupt and succeed

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If you've ever signed up for an email newsletter in the past twenty years, there's a good chance that it would've been delivered to your inbox through Mailchimp – with its characteristic postman chimp logo plastered at the very bottom of the email's footer, below the ever-so-tempting unsubscribe button. You may have also heard that Mailchimp's older than Gmail (started in 2004), the most widely used

free email service in the world. Makes you feel old, doesn't it?

What you probably don't know about the email marketing company is how amazingly resilient it has been to not just one but in fact two recessions in its lifetime. Yes, Mailchimp is one of the rare internet companies that hasn't just survived two recessions but has managed to come out stronger from both economic shocks – which is a testament to its longevity.

Mailchimp was founded in 2001, during the recession caused by the US dot com bubble in the previous

decade. When the bubble burst, Mailchimp didn't die as a young company, because email as a communication medium was just getting started. There was plenty of room to disrupt and innovate, which is exactly what Mailchimp did in its immediate founding years, and they were fairly successful at it. Later during the Great Recession of 2008 – where far bigger and more cash rich companies collapsed and failed, Mailchimp navigated the economic meltdown with an innovative business model – they went freemium. This actually boosted their user base and eventual revenue, as people and businesses adopted Mailchimp for email marketing initiatives at zero cost. Who wouldn't want to use a free online service and save money on the back of a painful recession? And Mailchimp has never looked back ever since, a service synonymous with email, if there ever was one.

RECESSIONS CREATE OPPORTUNITIES

Of course, Mailchimp isn't an outlier. Several companies have weathered recessions, the last two pandemic years, and other periods of economic turmoil by adjusting to their new realities – by looking for opportunities created by insurmountable challenges.

You just have to take a look at some of the world's biggest tech habits at the moment: messaging on WhatsApp, ordering an Uber when you're commuting to and from work, or booking a short stay through Airbnb. All of this wouldn't have been possible, if the founders of WhatsApp, Uber and Airbnb hadn't tried to learn from the 2008 Great Recession and use its disruptive advantage in their own product strategy.

In their own words, the founders of WhatsApp have shared the reason why they built the app way back in 2009. Jan Koum, co-founder and CEO of Facebook's WhatsApp messaging service, says the idea for the company he co-founded with Brian Acton in 2009 came about so he could stop missing calls on his new smartphone, according to a CNBC report. In a world that mostly used SMSes to communi-